2013 SCC OnLine All 9880

(BEFORE ASHOK BHUSHAN AND VIPIN SINHA, JJ.)

Jai Laxmi Cement Company Ltd. ..... Petitioner

v.

State of U.P. and 3 Others ..... Respondents

Counsel for Petitioner : - Bidhan Chandra Rai

Counsel for Respondent : - C.S.C., Mahboob Ahmad

Writ - C No. - 58746 of 2013

Decided on October 29, 2013

Hon'ble Ashok Bhushan, J.

Hon'ble Vipin Sinha, J.

Counter affidavit filed today is taken on record.

Heard Sri. B.C. Rai learned counsel for the petitioner and Sri. M.D. Singh Shekhar, learned Senior Advocate assisted by Sri. Nipendra Mishra, Advocate for the respondents.

This Writ petition has been by the petitioner praying for following reliefs.

"i. Issue a Writ, order of direction in the nature of certiorari calling for the records and to quash undated provisional assessment which was served to the petitioner company on 18.10.2013 at about 8 : 15 P.M. (Annexure 6 to the Writ petition);

ii. issue a Writ, order or direction in the nature of mandamus commanding the respondent no. 4 to send the main meter for testing to the approved independent test laboratory;

iii. issue a Writ, order or direction in the nature of mandamus commanding the respondent no. 4 to reconnect electricity supply of the petitioner company as the electricity of similarly situated consumers have been reconnected by the respondent no. 4.

Petitioner's case in the Writ petition is that the provisional assessment notice has been given to the petitioner demanding an amount of Rs. 13,92,97,764/- regarding theft of electricity and the notice indicates that the respondents have already made up their mind for arriving at the aforesaid amount. It is further submitted that a first information report was lodged after the checking which first information report is annexed as annexure 2 to the Writ petition in which allegations were made that there was tampering in the pole meter. He submits that two meters have been installed, one pole meter and another consumer meter within the premises of petitioner. It is submitted that petitioner is a consumer of H.V.-2 category having 1500 KVA load. It is further submitted that petitioner has requested for sending the meter for testing at laboratory on 11.10.2013 but no action has been taken so far. Petitioner's case further is that tampering in pole meter can in no manner affect the assessment nor any theft can be found on that basis. He submits that the assessment has been arbitrarily made without there being any material to prima facie prove any theft within the meaning of Section 135 of Electricity Act.

Sri. M.D. Singh Shekhar, learned Senior Counsel appearing for the respondents refuting the submission of the petitioner's counsel, contended that petitioner has been given opportunity to file objection within 15 days and it is open for the petitioner to raise all his objection in reply to the provisional assessment notice. Sri. M.D. Singh submits that the Writ petition is premature and be not entertained. It is further submitted that all the issues and grounds which are sought to be raised in the Writ petition can very well be raised in his objection which shall be decided by the Executive Engineer.

Learned counsel for the petitioner in support of his submission that the provisional assessment notice has recorded its conclusions and deserves to set aside on this ground, has placed reliance on the judgment of Apex Court in (2010) 13 SCC 427; *Oryx Fisheries Private Limited* v. *Union of India*.

We have considered the submissions of learned counsel for the parties and perused the record.

A perusal of the provisional assessment notice (Annexure-6 to the Writ petition) indicates that the Executive Engineer has provisionally assessed the petitioner on the basis of checking report which according to the Executive Engineer confirms the theft of electricity. The notice stated that the petitioner may deposit the amount and if there is any objection, the same may be filed within 15 days.

A bare reading of the provisional assessment notice does not indicate that any concluded opinion has been expressed in the provisional assessment notice or the issues have been prejudged. The provisional assessment notice is based on checking report on which petitioner has been given opportunity to file an objection.

The judgment of the Apex Court in *Oryx Fisheries Private Limited* v.

Union of India was on different facts and situation. In the said case the show cause notice has been stated, "It has been proved beyond doubt…………..". The observations made by the Apex Court in paragraph 23, 24, 27, 29, 31 and 32 have been relied by learned counsel for the petitioner. There cannot be any dispute to the proposition as laid down by the Apex Court in the said case. However, each case has to be examined on its own facts. In the provisional assessment notice (Annexure 6 to the Writ petition), the checking report has been relied for issuing the same. We are of the view that notice cannot be read as expressing any concluded opinion on the allegation of theft as mentioned in checking report. Petitioner having given right to file an objection, petitioner can raise his objections against the checking report as well as against the provisional assessment notice which is to be examined by the authority finalising the assessment.

Thus, we are not satisfied that the provisional assessment notice is liable to struck down on the above ground.

Learned counsel for the petitioner submitted that the Writ petition against the provisional assessment notice can very well be entertained by this Court. He has relied on the judgment of the Apex Court in (2012) 2 SCC 108; *Executive Engineer, Southern Electricity Supply Company of Orissa Limited* v. *Seeraram Rice Mill*. The Apex Court in the said case while considering the provisions of Electricity Act, 2003 has laid down following in paragraph 79 to 82 : -

79. It may be noticed that admittedly the present respondent had not preferred any appeal against the provisional order of assessment dated 25th July, 2009 and, in fact, had preferred a Writ petition against the very issuance of a notice issued in terms of Subsections(2) and (3) of Section 126 of the 2003 Act. This brings us to the question as to what is the scope of jurisdiction under Article 226 of the Constitution of India in face of the provisions of Section 127 of the 2003 Act.

80. It is a settled canon of law that the High Court would not normally interfere in exercise of its jurisdiction under Article 226 of the Constitution of India where statutory alternative remedy is available. It is equally settled that this canon of law is not free of exceptions. The courts, including this Court, have taken the view that the statutory remedy, if provided under a specific law, would impliedly oust the jurisdiction of the Civil Courts. The High Court in exercise of its extraordinary jurisdiction under Article 226 of the Constitution of India can entertain Writ or appropriate proceedings despite availability of an alternative remedy. This jurisdiction, the High Court would exercise *with some circumspection in exceptional cases, particularly, where the cases involve a pure question of law or vires of an Act are challenged. This class of cases we are mentioning by way of illustration and should not be understood to be an exhaustive exposition of law which, in our opinion, is neither practical nor possible to state with precision. The availability of alternative statutory or other remedy by itself may not operate as an absolute bar for exercise of jurisdiction by the Courts. It will normally depend upon the facts and circumstances of a given case. The further question that would inevitably come up for consideration before the Court even in such cases would be as to what extent the jurisdiction has to be exercised.*

81. Should the Courts determine on merits of the case or should they preferably answer the preliminary issue or jurisdictional issue arising in the facts of the case and remit the matter for consideration on merits by the competent authority? Again, it is somewhat difficult to state with absolute clarity any principle governing such exercise of jurisdiction. It always will depend upon the facts of a given case. We are of the considered view that interest of administration of justice shall be better subserved if the cases of the present kind are heard by the courts only where it involves primary questions of jurisdiction or the matters which goes to the very root of jurisdiction and where the authorities have acted beyond the provisions of the Act. However, it should only be for the specialized Tribunal or the appellate authorities to examine the merits of assessment or even the factual matrix of the case.

82. It is argued and to some extent correctly that the High Court should not decline to exercise its jurisdiction merely for the reason that there is a statutory alternative remedy available even when the case falls in the above-stated class of cases. It is a settled principle that the Courts/Tribunal will not exercise jurisdiction in futility. The law will not itself attempt to do an act which would be vain, lex nil frustra facit, nor to enforce one which would be frivolous-- lex neminem cogit ad vana seu inutilia--the law will not force any one to do a thing vain and fruitless. In other words, if exercise of jurisdiction by the Tribunal ex facie appears to be an exercise of jurisdiction in futility for any of the stated reasons, then it will be permissible for the High Court to interfere in exercise of its jurisdiction. This issue is no longer res integra and has been settled by a catena of judgments of this Court, which we find entirely unnecessary to refer to in - detail. Suffices it to make a reference to the judgment of this Court in the case of Whirlpool Corporation v. *Registrar of Trade Marks, Mumbai [(1998) 8 SCC 1] where this Court was concerned with the powers of the Registrar of Trade Marks and the Tribunal under the Trade and Merchandise Marks Act, 1958 and exercise of jurisdiction by the High Court in face of* *availability of a remedy under the Act.*

In paragraph 87, the Apex Court has recorded conclusions which are to the following effect : -

87. Having dealt with and answered determinatively the questions framed in the judgment, we consider it necessary to precisely record the conclusions of our judgment which are as follows : -

1. Wherever the consumer commits the breach of the terms of the Agreement, Regulations and the provisions of the Act by consuming electricity in excess of the sanctioned and connected load, such consumer would be "in blame and under liability" within the ambit and scope of Section 126 of the 2003 Act.

2. The expression "unauthorized use of electricity means" as appearing in Section 126 of the 2003 Act is an expression of wider connotation and has to be construed purposively in contrast to contextual interpretation while keeping in mind the object and purpose of the Act. The cases of 72 excess load consumption than the connected load inter alia would fall under Explanation (b) (iv) to Section 126 of the 2003 Act, besides it being in violation of Regulations 82 and 106 of the Regulations and terms of the Agreement.

3. In view of the language of Section 127 of the 2003 Act, only a final order of assessment passed under Section 126(3) is an order appealable under Section 127 and a notice-cum-provisional assessment made under Section 126(2) is not appealable.

4. Thus, the High Court should normally decline to interfere in a final order of assessment passed by the assessing officer in terms of Section 126(3) of the 2003 Act in exercise of its jurisdiction under Article 226 of the Constitution of India.

5. The High Court did not commit any error of jurisdiction in entertaining the Writ petition against the order raising a jurisdictional challenge to the notice/provisional assessment order dated 25th July, 2009. However, the High Court transgressed its jurisdictional limitations while travelling into the exclusive domain of the Assessing officer relating to passing of an order of assessment and determining factual controversy of the case.

6. The High Court having dealt with the jurisdictional issue, the appropriate course of action would have been to remand the matter to the Assessing Authority by directing the consumer to file his objections, if any, as contemplated under Section 126(3) and require the Authority *to pass a final order of assessment as contemplated under Section 126 (5) of the 2003 Act in accordance with law.*

There cannot be any dispute to the proposition that in exercise of jurisdiction under Article 226 of the Constitution of India Writ petition can be entertained even though a statutory remedy is available. However, for entertaining the Writ petition under Article 226 of the Constitution of India, the case has to be covered by one of the well known exceptions as laid down by the Apex Court in *Whirlpool Corporation* v. *Registrar* 1998 (8) SSC 1. From the submissions of the petitioner's counsel, we are of the view that present is not a case which can be held to be covered by any of the exceptions as laid down by the Apex Court in *Electricity Supply Company's* case or *Whirlpool Corporation's* case.

The petitioner having right to file objection against the provisional assessment notice and the statutory authority being obliged to consider the said objections while finalising the assessment, we are of the view that this is not a fit case to be entertained at this stage.

Learned counsel for the petitioner has submitted that even the provisional assessment notice has not been issued in accordance with provisions of the U.P. Electricity Supply Code, 2005. It is submitted that the petitioner is an industry and due to disconnection w.e.f. 01.10.2013 it is suffering a lot, hence in the interest of justice reconnection may be directed so that the industry may run.

After having considered the submissions of learned counsel for the parties and perusing the record, we are of the view that the petitioner be given further opportunity of filing a detail objection within 21 days from today. Petitioner's prayer for sending the meter in laboratory for testing may also be considered and appropriate decision may be taken by the competent authority. We further direct that subject to petitioner depositing one third amount of provisional assessment notice dated 11.10.2013, the respondent shall reconnect the electricity, which however, shall abide by the final assessment. It goes without saying that petitioner shall continue to pay the futures bills as and when due. The Executive Engineer shall consider the objection of the petitioner and finalise the assessment expeditiously preferably within a period of four weeks from the date of filing detail objection along with a certified copy of this order.

With these observations the Writ petition is disposed of.
